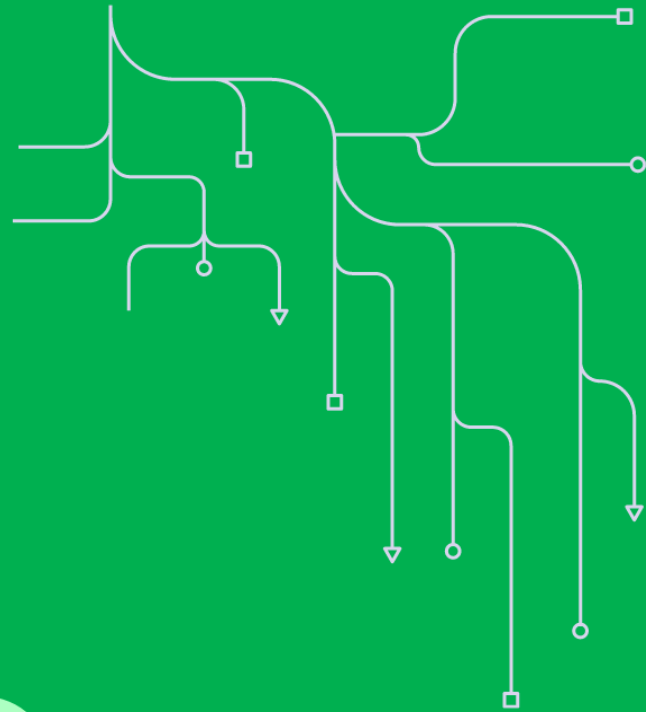
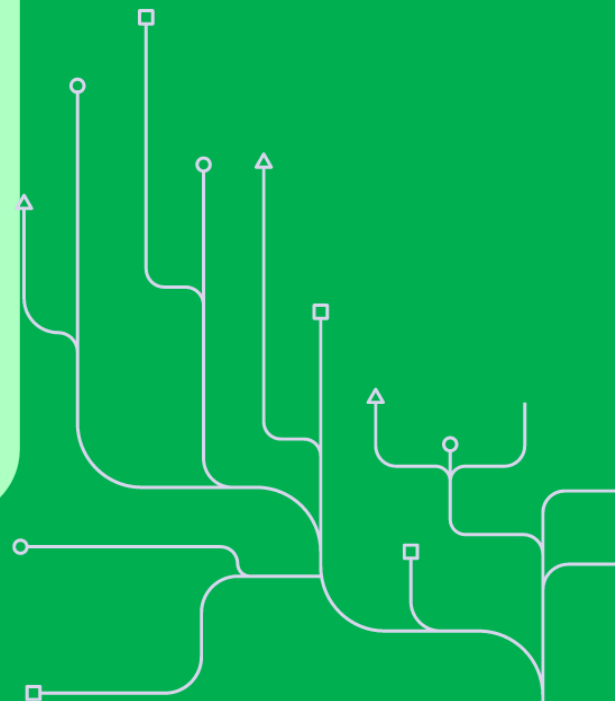




Digital Economic Integration of MSMEs in the Global South: Evidence From Select Sectors

Concept Note



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I. Background

In this project, IT for Change, Institute of Development Studies (IDS), and country partners will unpack how micro, small and medium enterprise (MSME) participation in the global economy is increasingly shaped by the rapid deployment of digital technologies (e.g. ERP, RPA, platformized models), as well as the mediating impact of regulatory frameworks around digitalization, data governance, and industrial policy.

Pandemic-triggered shocks to MSME operations and performance have hampered short-to-mid-term economic recovery. A [cascading impact](#) has been observed with regard to increased unemployment, food insecurity, higher levels of debt, and financial instability for low-income populations and communities. There is a global consensus that [restoring the health of MSMEs](#) is a critical prescription in the long road to economic recovery for developing nations. In this context, [digitalization](#) has received a lot of focus and has been advocated as the magic bullet strategy for [MSMEs to bounce back](#). While digitalization has and can certainly do much to enhance the value proposition of the MSMEs and aid their competitiveness, a majority of recent studies frame digitalization within narrow ideas of access, connectivity, infrastructure, and skilling, pegging the discourse solely on statistics around digital divide, country adoption rates of technologies, adoption of digital payments, transition to online sales, etc., that do not provide a more nuanced picture. Furthermore, digital marketplace integration through e-commerce adoption in terms of increased market access or customer acquisition is easily conflated with digital capacity development, with studies narrowly focusing on [MSME integration into e-commerce marketplaces](#), forecasting an over-optimistic outlook with respect to downstream impacts such as sales, client base, and export abilities. On the policy side too, government initiatives focus on enabling the startup ecosystem with ease of business strategies, subsidies, incentives, etc., often missing the beat for inclusion into digitalized value chains or marketplaces, and obscuring the crucial links to questions of policy, economic rights, and development.

II. The Problem Statement

Current discourses and prescriptions fail to fully consider the larger macroeconomic context and policy landscape within which such trends are likely to be playing out, and how this impacts the terms of inclusion for MSMEs.

- **Big Tech Capture of the Market(place):** The opportunity rhetoric, particularly in relation to e-commerce adoption, masks the fact that digitalized marketplaces are increasingly shaped through Big Tech-led platformization. Large digital platforms control market outcomes and affect a co-option of smaller economic actors, often at the cost of a steady evacuation of skill and knowledge capital from smaller firms and local enterprises. Correspondingly, issues of Big Tech regulation, specifically in relation to how they limit/expand the ability of MSMEs to develop and strengthen their productive capacities, has not received adequate attention.
- **Pandemic and Labor Impacts:** The thrust for economy-wide gigification and servification of labor, and a sharp rise in contract work arrangements (with attendant precarity and atomization) in the post-pandemic scenario suggest a mixed outlook for labor participation and value creation in the Global South, which needs critical analysis.
- **Uneven Terms of Integration:** There is a lack of focus on the power differential between MSMEs and larger e-commerce platforms and tech corporations, lead firms and suppliers, and the governance structures that skew the benefits in favor of powerful corporations. What this means for the ability of MSMEs to upgrade economically and socially, and how this may impact the bargaining power of developing economies is a question that remains unanswered. These uneven terms of integration also mean that women and women-led MSMEs might be ‘adversely incorporated’ into digital markets, or forced to digitize and datafy their businesses in a way that might leave them at an economic disadvantage.

- **An Ecosystem Lens:** National policy approaches miss an ecosystem lens, obscuring the linkages between endogenous (infrastructure policy, start-up financing, innovation ecosystem development, etc.) and exogenous (FDI, trade agreements, etc.) aspects. Additionally, there is a lack of focus on linkages between macro policy conditions pertinent to data and AI, e-commerce and digital trade, investment and corporate regulation, IP regimes, national data infrastructure policies, etc., and its prospects for MSMEs, specifically women-run enterprises.

Taken together, these silences leave unanswered the core question of how MSMEs can build and sustain digitalization pathways for enhanced outcomes in the global marketplace.

III. Research Objective

The proposed study attempts to make connections between MSME digitalization and the political economy of the digital marketplace and global value chains, in order to frame opportunities and challenges in relation to development outcomes, with a particular focus on the gendered consequences. Going beyond the barriers of gender-based discrimination, and the efficiencies brought about by digitalization strategies, the study intends to delve into emerging policies on global digital trade, international data flows, AI governance, etc., in order to understand how they (re)shape MSME integration into digitalized marketplaces and what implications they may have for the productive capacities of women-led MSMEs.

Research questions are outlined below:

1. How is MSME digitalization in the Global South playing out?

- How have digital capacities allowed MSMEs to integrate into the digitalized marketplace (across parameters such as client base, credit access, etc.)? What new business models have emerged?
- What are the terms of this integration, especially for women-run enterprises? Does investment into digital capabilities reduce power symmetries along the value chains or enable higher control by lead firms?
- How do the larger logics of platformization within the Big Tech ecosystem shape the productive capacities of MSMEs?

2. Where are MSMEs based along the data value chain?

- Are they collecting and aggregating data? Or selling to larger corporations? Or hiring data brokers?
- How is the development narrative around the use of data different for women versus men-owned enterprises?

3. How do key macroeconomic trends and regional/national/sub-national policies (such as in data governance, e-commerce, and FDI) shape the digital capacities and models of integration of MSMEs?

- What outcomes for labor are observed within these changes?

4. How can national and global policy frameworks enable inclusive and equitable participation of MSMEs into digitalized marketplaces?

- To what extent has gender been mainstreamed into policy?

IV. Research Framework

A two-part framework is proposed for the study:

Part 1: Studying Digitalization

The objective of this section is to understand how MSME digitalization in the Global South is impacting their participation in the marketplace. The focus will be on the following parameters:

1. **The dominance of e-commerce and platforms:** Private platforms convert quasi-public marketplaces into privatized enclosures, which allows them to [control a range of factors](#) that shape marketplace outcomes in their favor. For example, e-commerce marketplaces such as Amazon can determine product prices of third-party sellers on their platform, control search rankings, and manipulate participant behavior in ways that favor their own products on the platform. Similarly, online travel aggregators such as AirBnB and TripAdvisor, driven by data-based optimization and personalization strategies, deep discounting practices, and an ability to integrate both vertically and horizontally, can exert greater control over the tourism value chain, leading to an eventual [hollowing out of small tourism enterprises](#) from the marketplace.

This section will unpack the in-depth logics of such platform-controlled value chains/marketplaces and look at how lead firms/platforms shape economic power among the various actors in the ecosystem.

- 2. Terms of Marketplace Integration:** For developing economies, a long-standing challenge is that when they do link into global marketplaces, it is not always on terms that are favorable to them. For example, enterprises from the Global South often [link to value chains](#) or remain stuck at the lower ends, performing cookie-cutter production activities or low-value-added manufacturing tasks. In a similar manner, for a majority of enterprises, selling efficiently on a digital platform like Amazon or Flipkart requires them to make [changes to their internal business structure](#) or process, including fundamental changes in product design. All of this raises questions about the extent to which MSMEs are actually able to turn marketplace participation into an opportunity to enhance their value and strengthen their innovation capacity -- which is the key issue this section will explore.
- 3. Substantive Gender Inclusion:** The opportunities associated with access to and participation in digitalized marketplaces remain considerably gendered. For example, digital restructuring of value chains can have a disproportionate impact on wages and employment of [female workers in the Global South](#), who, as highlighted earlier, are often engaged in low-end tasks that are highly prone to automation, and that offer limited potential for economic and social upgrade. Additionally, women-led MSMEs in the Global South tend not to participate in third-party e-commerce platforms because of lower access to credit and financing, making it difficult for them to afford the higher commissions charged by these platforms. This section will deep dive into such gender-specific dynamics and outcomes of marketplace participation as an important dimension of power relationships that span the local, national, and global levels.

- 4. Labor-related Impacts:** In the context of labor, the debates on digitalization often focus on increased integration into global markets, employment opportunities, growth, and flexibility for workers, neglecting to consider other important implications such as increasing precarization and vulnerability, new modes of worker exploitation, opportunities for upskilling and reskilling, back-stopping effects on wages, changes in workforce composition, etc., [brought about by digitalization](#). This section will highlight such labor-related situations and outcomes of digitalization for workers/MSMEs in the Global South.

Part 2: Studying the Policy Landscape

The objective of this section is to understand how national, sub-national, regional, and macroeconomic policies are shaping prospects for MSMEs to integrate into digitalized marketplaces.

- 1. Big Tech-led platformization logics:** This section will focus on policies relating to competition law, merger-related regulations, algorithmic regulation of platforms, source code disclosure policies, etc., aimed at controlling the power wielded by Big Tech actors in the digitalized marketplace.
- 2. Marketplace integration:** This section will focus on policies relating to connectivity and infrastructure, lowering data costs, enhancing digital literacy and skilling, improving access to finance, making available public digital infrastructure for innovation, IP-related legislation, MSME acceleration programs, etc., in particular the extent to which they allow MSMEs to develop their capacities while retaining autonomy at an enterprise level.
- 3. Substantive gender inclusion:** This section will focus on the extent to which the policy ecosystem mainstreams gender in areas such as design and implementation of regulation, finance and working capital access, capacity development of women's enterprises, and gender-inclusive value chain development.
- 4. Labor-related impacts:** This section will highlight the policies and actions relevant to employers, workers, trade unions, etc., impacted by digitalization, and their role in ensuring equitable labor outcomes for MSMEs in global marketplaces.

V. Details of Study

Regions: Asia, Africa, and Latin America

Focus Countries: Brazil, Argentina, Kenya, Indonesia, Philippines, Thailand, Cambodia, and India. (A maximum of five countries across the three regions will be chosen for the study.)

Focus Sectors:

1. **Agro-processing:** The digital upgrading of MSMEs in agro-processing value chains is significant to the larger workforce employed in the agricultural sector. Additionally, women workers and entrepreneurs are concentrated in the manufacturing of food products.
2. **IT Enabled Services (ITES):** Business services value chains are being transformed through digitalization (e.g., automation through chatbots in the BPO sector and data annotation markets for AI development), impacting low-end work and opportunities for MSMEs to enter and upgrade in the market.
3. **Tourism:** Micro, small and medium-sized tourism enterprises form the backbone of local tourism. As efforts to reboot tourism accelerate worldwide, the ability of small tourism businesses to take advantage of digitization and platformization trends in travel and tourism will be important to their economic recovery.

IT for Change will lead the overall coordination of the country-level research studies, and undertake the study in India. The final synthesis of the country-level studies will be done by IT for Change and IDS.

VI. Research Methodology

This will be an in-depth qualitative exploration of approximately 200 MSMEs across five countries on the parameters outlined above, and the primary data collection methodology will be field visits and interviews with various actors in the MSME ecosystem. In addition, the macroeconomic analysis, including linkages between policy choices and trends at the country level with MSME capacities, as well as a critical examination of the national digital economy / MSME development strategy will involve secondary research review of select policy documents, apart from interviews with policymakers.

Plan for research study and scope of partnership

The study, planned as a collaborative effort between IT for Change and IDS will be conducted through a hub and spoke model with partner organizations in countries identified for inclusion in the study. Partner organizations will undertake deep dives in the chosen countries based on guidance and review from IT for Change and IDS and a template structure that is co-constructed. They will be responsible for:

- A qualitative analysis of the experiences of 40-50 MSMEs in at least two sectors from the list of sectors indicated above, supplemented by at least two case studies of select women-led MSMEs.
- A state of play analysis of macroeconomic trends and national/sub-national policies, in relation to the MSME ecosystem in the sector/s of study.
- Producing a final country-level research report integrating the findings from 1 and 2 above, with a clear policy recommendations section, including a focus on women-led MSMEs.
- Participation in the research ideation and review workshops convened by IT for Change and IDS at regular intervals.

VII. Appendix

Typology used in the study:

- **Digitalized Marketplace:** A marketplace in which goods and services are delivered digitally between buyers and sellers or producers and consumers (includes both e-commerce, where goods may be developed physically but delivered digitally, and services such as data processing, RPA, etc., that are produced and delivered digitally).
- **Global Value Chain (GVC):** A value chain in which the different stages of the production process are located across different countries.
- **E-commerce:** buying and selling through digital channels (may not involve a platform).
- **Platform:** An intermediary that facilitates digitally enabled transactions between buyers and sellers.
- **Digitalized Value Chain:** Use of digital solutions to enhance/expand parts of the value chain.